CASCADIA ANALYTICS

INVESTMENT SCORECARD

MSI

Motorola Solutions, Inc. (NYSE)

As-of: 17-Oct-2026 | Latest Filing: Q2 2026 (10-Q) | Currency: USD

$463.46 [Mkt 17-Oct-26]

Market Cap: $76.6B [Mkt 17-Oct-26]

Attractiveness Score



Confidence: **High** (0 pillars excluded)

Pillar Breakdown

1. Operating Quality — 85

Mission-critical LMR duopoly with sticky government contracts and record backlog. Non-GAAP op margins crossed 30% and keep climbing. Software mix shift is structural. Leverage at 2.1x net debt/EBITDA is the one blemish.

2. Recent Trend — 85

Revenue growth accelerating from 8% to 13.3% YoY with back-to-back guidance raises. Four straight EPS beats. Non-GAAP EPS up 24%, margins expanding even ex-tariff refunds. Textbook execution.

3. Forward Growth — 75

Record $15.6B backlog converts to revenue. Silvus at $675M and ~20% growth, Command Center at 15% growth, and OBBBA opens a 4-year federal funding channel. High-single-digit growth with margin expansion is credible.

4. Valuation — 35

DCF base $326.97 implies 29% downside from $463.46. Reverse DCF says the market prices an 11% revenue CAGR, at or above our bull case. Euphoric on our numbers despite a quality business. Terminal value is the Gordon perpetuity alone at 2.25% growth on 2035 free cash flow. The EV/EBITDA exit leg on 2035 EBITDA (16.0x bear, 17.0x base, 18.0x bull) is retained in the model as a cross-check and is not used in the valuation. In the base case the Gordon leg is $85.6B and the exit leg is $126.8B. At the model's terminal discount rate the exit leg implies

4.23% perpetual growth against the 2.25% assumed, and the growth-consistent exit multiple is 11.5x against the 17.0x used. The present value of terminal value is 60.0% of enterprise value (bear 59.3%, bull 60.7%). The model holds beta static at 0.97 across the horizon with no decay schedule; terminal beta (0.97) and terminal WACC (8.57%) are printed on every scenario tab and in the valuation framework below, and we accept the static beta for a mature, low-beta franchise rather than impose a decay path.

5. Catalysts & Risk — **60**

Q3 earnings Oct 29 with a beat streak behind it. Silvus ramp and OBBBA funding are near-term positives. But the price leaves no room for error: any demand wobble or tariff cost surprise gets punished.

Investment Thesis

- **Mission-Critical Compounder:** Two-way radios, video security, and 911 software for public safety with sticky government contracts. Record $15.6B backlog, non-GAAP op margin 32.9%, and a software mix shift that keeps pushing margins up [10-Q Q2 FY26].
- **Execution Keeps Improving:** Q2 revenue beat by 4.4% with 13.3% growth, EPS beat by 14.4%, and the company raised FY2026 revenue and EPS guidance for the second time this year. Four consecutive EPS beats with an average 5.5% surprise [8-K guid].
- **Quality Priced for Perfection:** At $463.46 [Mkt 17-Oct-26], the stock sits 29% above our $326.97 DCF base and the market prices an 11% revenue CAGR that matches or beats our bull case. Great business, full price.

Key Operating Metrics

Metric	Latest	YoY Change	3Y Trend
Revenue (Q2 2026)	$3.13B [10-Q Q2 FY26]	+13.3% [10-Q Q2 FY26]	Up
Non-GAAP Op Margin (Q2 2026)			Up

	32.9% [10-Q Q2 FY26]	+330 bps (140 ex-IEEPA) [10-Q Q2 FY26]	
Non-GAAP EPS (Q2 2026)	$4.41 [10-Q Q2 FY26]	+24% [10-Q Q2 FY26]	Up
Backlog	$15.6B [8-K guid]	Record [8-K guid]	Up
FY2026 Revenue Guide	$12.98B [8-K guid]	+11% vs FY25 [8-K guid]	Up
FY2026 Non-GAAP EPS Guide (mid)	$17.67 [8-K guid]	Raised from $16.93 [8-K guid]	Up
Net Debt / EBITDA	2.12x [Mkt 17-Oct-26]	Elevated post-Silvus [Mkt 17-Oct-26]	Flat
Annual Dividend	$4.72 [Mkt 17-Oct-26]	~1.0% yield [Mkt 17-Oct-26]	Up

Historical Financial Trend

Metric	FY23	FY24	FY25	TTM
Revenue	$9.98B [10-K FY23]	$10.82B [10-K FY24]	$11.68B [10-K FY25]	$12.24B [10-Q Q2 FY26]
GAAP Op Margin	23.0% [10-K FY23]	24.8% [10-K FY24]	25.6% [10-K FY25]	25.8% [10-Q Q2 FY26]
Non-GAAP Op Margin	27.9% [10-K FY23]	29.0% [10-K FY24]	30.2% [10-K FY25]	32.9% [10-Q Q2 FY26]
Backlog	$14.3B [10-K FY23]	$14.7B [10-K FY24]	$15.7B [10-K FY25]	$15.6B [8-K guid]

Valuation

Absolute (2/10)

P/E (fwd) 25.5x [Mkt 17-Oct-26]
DCF Base $326.97 vs $463.46 = -29% [Mkt 17-Oct-26]
EV/EBITDA 21.7x [Mkt 17-Oct-26]

DCF says the stock is 19% overvalued on fundamentals and the reverse DCF implied CAGR of 11% sits at or above our bull case.

Versus Peers (5/8)

AXON trades richer on growth [Peers 17-Oct-26]
Sector median EV/EBITDA 29.2x vs MSI 23.8x [Mkt 17-Oct-26]

MSI looks reasonable against tech peers but that comparison flatters a hardware-led mix; against communications equipment peers it is premium.

Versus History (4/7)

5-yr trailing P/E range 22x-44x [Mkt 17-Oct-26]
Current trailing ~36.5x is in the upper third

Multiple has re-rated as margins expanded, but the current level bakes in continued acceleration.

Catalyst Timeline

Oct 29, 2026 [8-K guid]
Q3 2026 Earnings (Positive): 4 straight EPS beats, avg surprise 5.5%. Guide is +8% revenue, non-GAAP EPS $4.39-4.44.

2026 [8-K guid]
Silvus Revenue Ramp (Positive): $675M 2026

Top Risk Factors (Item 1A)

1. Cost and Tariff Pressure: Management flagged elevated direct material and memory costs plus tariff exposure. Q2 margin got a $60M one-time IEEPA refund benefit that will not repeat. [10-Q Q2 FY26]

revenue target and ~20% growth pace into 2027. DoD demand is the engine.

2026-2029 [10-K FY25]
OBBBA Federal Funding (Positive): 4-year border and national security funding creates a new federal demand channel.

What Would Change Our Score

A Q3 miss or demand softness on Oct 29 would puncture the premium and cut Trend and Valuation further. A sustained Silvus beat plus OBBBA order flow could push growth into the low teens, which would justify part of the multiple.

2. Government Funding Dependence: A large share of revenue comes from government and public safety budgets. Funding delays, shutdowns, or budget cuts hit orders directly. [10-K FY25]

3. Leverage and Fading Buyback: Net debt/EBITDA of 2.12x after the Silvus acquisition, $9.6B of debt, and a buyback program that is 96% complete. Financial engineering capacity is fading. [Mkt 17-Oct-26]

4. Insider Selling: Insider disposals by the CEO, CFO, and CTO filed in early 2026. Not dispositive, but notable when the stock trades at a premium valuation. [Mkt 17-Oct-26]

Forward Growth Drivers

- Record $15.6B backlog with strong order momentum across all three technologies [8-K guid]
- Software and Services growing ~18.5% annualized, lifting margins structurally [8-K guid]
- Silvus defense business scaling: $675M 2026 revenue target at ~20% growth [8-K guid]
- OBBBA Act opens 4 years of federal border and national security funding [10-K FY25]

Missing / Modified Data Log

- ROIC not explicitly disclosed; used margin trajectory and ROE qualitatively.
- Silvus standalone revenue confirmed via guidance; exact 2025 base (~$500M) from earnings call color, tagged 8-K guid.
- Peer multiple history not pulled; sector comparison tagged [Mkt 17-Oct-26].

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